believe that the principle of ensuring that proxy voting advice businesses provide clients with a mechanism by which they can reasonably be expected to become aware of registrants' written statements regarding the proxy voting advice in a timely manner will facilitate in particular the use and review of such advice by investment advisers.[387]

We wish to emphasize that the principles-based approach we are adopting in Rule 14a-2(b)(9)(ii) is intended to be adaptable to a variety of circumstances and business models. Various policies and procedures, beyond those in the safe harbors set forth in Rules 14a-2(b)(9)(iii) and (iv), may be used to satisfy these principles. Whether a proxy voting advice business has complied with the principles-based requirements will be determined by the particular facts and circumstances of the business's adopted written policies and procedures and whether such facts and circumstances support the conclusion that the particular policies and procedures are reasonably designed to ensure that (1) registrants that are the subject of the proxy voting advice have such advice made available to them at or prior to the time when such advice is disseminated to the proxy voting advice business's clients and (2) the proxy voting advice business provides its clients with a mechanism by which they can reasonably be expected to become aware that registrants have filed additional proxy materials that are responsive to the proxy voting advice in a timely manner before the shareholder meeting. Some relevant factors to be used in the analysis include:

- The degree to which a registrant has time to respond and whether the policy ensures prompt conveyance of information to the registrant.

[387] The Commission previously issued guidance discussing how the fiduciary duty and rule 206(4)-6 under the Advisers Act relate to an investment adviser's exercise of voting authority on behalf of clients and also provided examples to help facilitate investment advisers' compliance with their proxy voting responsibilities. *See* Commission Guidance on Proxy Voting Responsibilities. We expect that Rule 14a-2(b)(9)(ii)(A) will result in registrants being made aware of recommendations by proxy voting advice businesses in a timeframe that will permit those registrants to make any views regarding those recommendations available in a more timely manner than was previously the case. We therefore are concurrently supplementing that guidance to investment advisers in a separate Commission release. *See* Supplemental Proxy Voting Guidance.

- The extent to which the mechanism provided to clients is an efficient means by which they can reasonably be expected to become aware of the registrant's written response, once it is filed, such that the client has sufficient time to consider such response in connection with a vote.
- The reasonableness, based on facts and circumstances, of any fees charged by a proxy voting advice business to a registrant as a condition to receiving a copy of its proxy voting advice and the extent to which such fees may dissuade a registrant from seeking to review and provide a response to such proxy voting advice.

We reiterate that these factors are not exclusive and no single factor or combination of factors will control the determination of whether a proxy voting advice business has complied with the principles-based requirements.

c. Exclusions from Rule 14a-2(b)(9)(ii) [Rules 14a-2(b)(9)(v) and (vi)]

Notwithstanding the benefits that we expect will accrue to clients of proxy voting advice businesses, as well as the proxy voting system as a whole, we recognize that the requirements of Rule 14a-2(b)(9)(ii) may not be appropriate in all contexts. As such, pursuant to new Rules 14a-2(b)(9)(v) and (vi), respectively, proxy voting advice businesses need not comply with Rule 14a-2(b)(9)(ii) in order to rely on either the Rule 14a-2(b)(1) or (b)(3) exemption (1) to the extent that their proxy voting advice is based on a custom policy[388] or (2) if they provide proxy voting advice as to non-exempt solicitations regarding certain mergers and acquisitions or contested matters.[389]

[388] *See* Rule 14a-2(b)(9)(v).

[389] *See* Rule 14a-2(b)(9)(vi).

i. Custom Policies

As noted above,[390] some commenters recommended—in the context of our proposed amendments to Rule 14a-1(l)—that we amend the definitions of "solicit" and "solicitation" to exclude proxy voting advice based on custom policies.[391] Specifically, one commenter that is a proxy voting advice business noted that it "does not own, and is prohibited from disclosing, clients' custom policies and the recommendations based thereon."[392] That commenter also expressed doubt as to the efficacy, from an investor protection standpoint, of "allowing issuers to vet the methodologies and assumptions institutional investors choose to implement for their own portfolios."[393] Although we reaffirm our prior interpretation of the scope of the terms "solicit" and "solicitation" and decline to amend their definitions as those commenters suggested, we find these points to be compelling with respect to the application of certain requirements of Rule 14a-2(b)(9). We also understand these commenters' concerns regarding the potential costs that would be imposed upon investors, as well as their doubts regarding the corresponding investor protection-based benefits, if the requirements of Rule 14a-2(b)(9)(ii) were to be applied to proxy voting advice based on a custom policy.

In light of these concerns, we are adopting new Rule 14a-2(b)(9)(v), which excludes from the scope of Rule 14a-2(b)(9)(ii) proxy voting advice to the extent that such advice is based on custom policies that are proprietary to a proxy voting advice business's client.[394]

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[390] *See supra* note 112 and accompanying text.

[391] *See* letters from ISS; New York Comptroller II; State Street. *See also supra* note 165 for a link to a description of the services that one major proxy voting advice business offers in connection with its clients' custom policies.

[392] Letter from ISS. *See also* letter from Glass Lewis II ("Mandating that custom voting recommendations go through the issuer review and feedback mechanisms would expose these investors' confidential, proprietary information and force Glass Lewis to breach its commitments to these clients.").

[393] Letter from ISS.

[394] Rule 14a-2(b)(9)(v). The term "custom policies" for purposes of Rule 14a-2(b)(9)(v) would not include a proxy voting advice business's benchmark or specialty policies, even if those benchmark or specialty policies were to be

Our adoption of new Rule 14a-2(b)(9)(v) is not only motivated by the potential costs that commenters identified, it also reflects our belief that many of the goals of this rulemaking will still be achieved with respect to proxy voting advice that is based on a custom policy, notwithstanding the fact that such advice will not be subject to Rule 14a-2(b)(9)(ii). For example, as noted above and consistent with prior Commission statements,[395] such proxy voting advice will constitute a "solicitation" subject to Rule 14a-9, and persons who provide such advice in reliance on the exemptions in either Rule 14a-2(b)(1) or (b)(3) must comply with the conflicts of interest disclosure requirements set forth in new Rule 14a-2(b)(9)(i). We further note that proxy voting advice businesses generally use substantially the same data to produce most of their voting advice (including reports containing proxy voting advice based on benchmark, specialty, or custom policies).[396] In addition, it is our understanding of the proxy voting advice market as it currently operates that proxy voting advice businesses' clients that receive proxy voting advice pursuant to their custom policies generally also receive the businesses' voting advice based on the businesses' benchmark policies. Such benchmark policy proxy voting advice contains the bulk of the data, research, and analysis underlying custom policy proxy voting advice. Thus, because the proxy voting advice based on the benchmark policies—including the data, research, and analysis therein—would be subject to Rule 14a-2(b)(9)(ii), clients that receive proxy voting advice

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adopted by a proxy voting advice business's client as its own policy. *See supra* note 12. If, however, a proxy voting advice business's client adopts a benchmark or specialty policy as its own policy, then the proxy voting advice business would have to satisfy the requirements of Rule 14a-2(b)(9)(ii) only with respect to the proxy voting advice that is based on the benchmark or specialty policy. For the avoidance of doubt, Rule 14a-2(b)(9)(ii)(A) does not require that the proxy voting advice business make available to the registrant multiple copies of the same voting advice, and for purposes of Rule 14a-2(b)(9)(ii)(B), the proxy voting advice business's policies and procedures should be reasonably designed to provide such client with a mechanism by which the client could reasonably be expected to become aware of any written statement regarding the benchmark or specialty policy.

[395] *See supra* text accompanying note 166.

[396] *See* letter from ISS ("Because substantially the same data are used to produce all ISS voting reports . . . .").

pursuant to their custom policies generally will benefit from an awareness of any responses that the registrants may file thereto.

ii. Merger and Acquisition Transactions and Contested Solicitations

Solicitations involving merger and acquisition ("M&A") transactions or contested matters, such as contested director elections where a dissident soliciting party proposes its own slate of director-nominees, are generally fast-moving and can be subject to frequent changes and short time windows.[397] This often results in proxy voting advice businesses having to deliver their advice to clients on a tighter deadline, and with less lead time before the applicable meeting, than they would under normal circumstances.[398] As noted above, some commenters expressed concerns regarding the practical challenges and potential disruptions that the proposed review and feedback mechanism, with its specified time frames for each step of the process, would have caused in the context of M&A transactions or contested solicitations.[399] Commenters also expressed concerns about the heightened risk that the proposed review and feedback mechanism, which would involve reviews of proxy voting advice before it is disseminated to clients, could pose regarding the disclosure of market-moving or material, non-public information in the context of M&A transactions or contested solicitations.[400] We expect that these concerns will be

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[397] *See, e.g.*, letter from Glass Lewis II ("[O]ur experience is that contested situations are often much more fluid with both sides making supplemental filings on a continuing basis as the meeting date approaches.").

[398] *See, e.g.*, *id.* ("Glass Lewis' data shows that report preparation and delivery timing varies significantly for mergers and acquisitions and other special situations. On average, proxy research reports were delivered to clients 14 days before the meeting date [in] M&A transactions and 13 days in contested situations.").

[399] *See supra* note 279 and accompanying text. *See also* letters from ISS (stating that the proposal would hinder "the ability of proxy advice to be appropriately responsive to important and often fast-moving situations such as proxy fights and contested mergers and acquisitions"); Glass Lewis II ("[I]t is important for a proxy advisor, when appropriate to best meet its clients' needs, to be able to defer providing its advice until near-final information is available and to be able to quickly amend already-provided advice, as needed.").

[400] *See* letters from CII I ("It is not clear whether the PA Proposal creates the potential for insider trading on certain market-moving recommendations and related analysis, particularly in connection with mergers and acquisitions

significantly alleviated, if not eliminated entirely, by the fact that Rule 14a-2(b)(9)(ii), as adopted, does not include the proposed advance review and feedback mechanism and, with its principles-based requirements, provides proxy voting advice businesses with added flexibility. For example, absent the proposed advanced review and feedback mechanism, Rule 14a-2(b)(9)(ii)(A) does not increase the risk that proxy voting advice businesses will disseminate potentially market-moving or material, non-public information selectively to registrants (or any other soliciting persons) before they otherwise would disseminate such information to their clients.

To further address concerns raised by commenters, we are also adopting new 17 CFR 240.14a-2(b)(9)(vi) ("Rule 14a-2(b)(9)(vi)"), which excludes from the requirements of Rule 14a-2(b)(9)(ii) any portion of the proxy voting advice that makes a recommendation, as well as any analysis and research underlying such recommendation that is furnished along therewith, as to a solicitation subject to Rule 14a-3(a)[401]:

(A) To approve any transaction specified in Rule 145(a) of the Securities Act;[402] or

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(M&A), and how the SEC staff thought about such a risk in proposing the five-day review and 'final notice' periods."); Elliott I ("The risks of insider trading and leaks involving proxy voting advice are also higher when a shareholder vote involves a material event. The Proposal would put the draft proxy voting advice—potentially market-moving information—in the hands of issuers before it is provided to the investors who will act on it. This selective disclosure would necessarily increase the risk that the information will be misused or leaked, whether accidentally or deliberately."); ISS (noting that it currently "safeguard[s] [material, non-public information] by not pre-releasing potentially market-moving draft reports and vote recommendations" and allowing "selected issuers a limited review right of draft reports only for annual meetings, not special meetings" and asserting that the proposal "rais[es] significant concerns about confidentiality" and "selective disclosure of material non-public information"); Glass Lewis II ("[W]e note that commentators have raised significant questions about how the advance knowledge gained in the review processes could be misused in contested situations that should be addressed and resolved before adopting any rule mandating review in this context."). As they likely are already aware (based on the concerns expressed in the foregoing comment letters), we remind proxy voting advice businesses that they have a responsibility to safeguard any material, non-public information in their possession. Although that responsibility is heightened in the context of shareholder meetings regarding M&A transactions or contested matters, when such information is particularly sensitive and potentially market-moving, we expect proxy voting advice businesses to discharge that responsibility in all situations.

[401] 17 CFR 240.14a-3(a).

[402] Rule 14a-2(b)(9)(vi)(A). Rule 145(a) lists and describes certain M&A transactions that are broadly categorized as reclassifications, mergers of consolidation, and transfers of assets. *See* 17 C.F.R 230.145(a).

(B) By any person or group of persons for the purpose of opposing a solicitation subject to Regulation 14A by any other person or group of persons.[403]

As a result of new Rule 14a-2(b)(9)(vi), proxy voting advice businesses would be permitted (but not required) to adopt written policies and procedures pursuant to which the businesses would not make available to registrants any portion of the proxy voting advice relating to M&A transactions and contested matters at or prior to the time such advice is disseminated to clients and to exclude the registrant's response to such advice from the requirement of Rule 14a-2(b)(9)(ii)(B). To be eligible to rely on Rule 14a-2(b)(9)(vi), a proxy voting advice business must be providing advice with respect to a solicitation subject to Rule 14a-3(a). This requirement is intended to limit the scope of Rule 14a-2(b)(9)(vi) to proxy voting advice with respect to solicitations that are subject to the Federal proxy rules' information and filing requirements, including the requirement to file and furnish a definitive proxy statement. By contrast, proxy voting advice businesses providing advice with respect to any exempt solicitations (including solicitations as to M&A transactions or contested matters) would be ineligible to rely on the exception in Rule 14a-2(b)(9)(vi).

For the avoidance of doubt, this exception from the requirements of Rule 14a-2(b)(9)(ii) applies only to the portions of the proxy voting advice relating to the applicable M&A transaction[404] or contested matters and not to proxy voting advice regarding other matters presented at the relevant meeting. If, therefore, there is a shareholder meeting at which the only

[403] Rule 14a-2(b)(9)(vi)(B).

[404] We recognize that a registrant or other soliciting person may present at the shareholder meeting other matters that, while not directly approving an M&A transaction or a contested matter, are nevertheless closely related to such transaction or contested matter. For example, a registrant's definitive proxy statement may seek approval of a proposed M&A transaction, approval of the issuance of the registrant's securities to finance the M&A transaction, and an advisory vote on the "golden parachute" payments to be made in connection with the M&A transaction. In such a situation, the latter two matters may be sufficiently integral to the M&A transaction such that redaction of the proxy voting advice on the M&A transaction alone would render the proxy voting advice on the remaining matters to be confusing for a registrant reading such advice. In such a case, the Rule 14a-2(b)(9)(vi) exception would be available for all three matters. The determination of whether a matter is sufficiently integral to an M&A transaction or contested matter to fall within the Rule 14a-2(b)(9)(vi) exception will depend on the particular facts and circumstances.

items presented for approval are the applicable M&A transaction or contested matters, a proxy voting advice business could have written policies and procedures that permit the entirety of the proxy voting advice provided with respect to that meeting to be excluded from the requirements set forth in Rule 14a-2(b)(9)(ii). If, however, additional matters are presented for shareholder approval at such meeting, then only the portion of the proxy voting advice provided with respect to the applicable M&A transaction or contested matters could be excluded from the requirements set forth in Rule 14a-2(b)(9)(ii).

We understand that proxy voting advice businesses often provide their proxy voting advice on all matters for which security holders are solicited at a particular meeting (*e.g.*, contested and uncontested matters, M&A- and non-M&A-related matters, etc.) together in a single report.[405] If a proxy voting advice business takes this approach but wishes to avail itself of the exception set forth in Rule 14a-2(b)(9)(vi), it can do so, for example, by redacting the portion of the report that contains proxy voting advice as to the applicable M&A transaction or contested matters in the version of such report that is provided to a registrant pursuant to Rule 14a-2(b)(9)(ii)(A). We further understand that at least one proxy voting advice business currently provides its clients with a separate, standalone report that provides recommendations only with respect to the M&A transactions or contested matters presented at the meeting.[406] If a proxy voting advice business adopts this approach with respect to M&A transactions and contested matters, then, under Rule 14a-2(b)(9)(vi), the requirements of Rule 14a-2(b)(9)(ii) would not be applicable to such standalone report. Finally, to the extent that a proxy voting advice business finds it too burdensome to either redact or bifurcate its reports, it is not required to avail itself of the exception

[405] Proposing Release at n.112 ("It is also common for a proxy voting advice business to present in a single, integrated written report its voting recommendations on all matters to be voted at the registrant's meeting . . . .").

[406] *See* ISS, SPECIAL SITUATIONS RESEARCH, *available at* https://www.issgovernance.com/solutions/governance-advisory-services/special-situations-research/ (last visited on May 28, 2020).

set forth in Rule 14a-2(b)(9)(vi). Instead, the proxy voting advice business can choose to subject all of its proxy voting advice—including its advice as to the applicable M&A transaction and contested matters—to the requirements of Rule 14a-2(b)(9)(ii), subject to the proxy voting advice business's obligation to safeguard material, non-public information in its possession.[407]

As with proxy voting advice that is based on a custom policy, proxy voting advice that is excluded from the scope of Rule 14a-2(b)(9)(ii) pursuant to new paragraph (vi) will constitute a "solicitation" subject to Rule 14a-9. Similarly, persons who provide such advice in reliance on the exemptions in either Rule 14a-2(b)(1) or (b)(3) must comply with the conflicts of interest disclosure requirements set forth in new Rule 14a-2(b)(9)(i).

d. Response to Constitutional Objections

Some commenters raised First Amendment objections to the proposed amendments.[408] Their concerns focused primarily on the proposed registrant review and feedback provisions and the requirement that proxy voting advice businesses include in their advice a hyperlink to the registrant's response. The final amendments incorporate substantial modifications that address these concerns.

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[407] If a proxy voting advice business decides not to avail itself of the exception set forth in Rule 14a-2(b)(9)(vi) and subjects its advice as to the applicable M&A transaction or contested matter to Rule 14a-2(b)(9)(ii), we believe that many of the concerns commenters expressed will be mitigated by the changes we made from the proposal. For example, to the extent that proxy voting advice businesses generally deliver their advice with respect to M&A transactions or contested matters to clients with less lead time before the applicable meeting, the principles-based requirements of Rule 14a-2(b)(9)(ii)(A) allows proxy voting advice businesses to design and implement policies and procedures that work best for their clients' needs and timing concerns. In addition, to the extent that proxy voting advice businesses amend their advice with respect to M&A transactions or contested matters in light of subsequent events, Rule 14a-2(b)(9)(ii)(A) does not require that proxy voting advice businesses make available to registrants such amended advice.

[408] *See, e.g.,* letters from CFA Institute I; CII IV; CIRCA; Elliott I; Glass Lewis II; ISS; Interfaith Center II; New York Comptroller II; NorthStar; Shareholder Rights II; Washington State Investment; ValueEdge III (stating that it has contacted the Department of Justice to review this proposal and recommends the Commission do the same). Most of these commenters generally opposed the proposed amendments on Constitutional grounds. Further, to the extent such commenters suggested potential alternative regulatory solutions, no commenters offered a more tailored solution that we believe would still achieve the objectives of this rulemaking.

As discussed above, the proposed amendments requiring that proxy voting advice businesses give registrants an opportunity to review and provide feedback on their advice before the advice is disseminated to clients have not been included in the final amendments. Under the final amendments, proxy voting advice businesses can satisfy Rule 14a-2(b)(9)(ii)(A) by ensuring that their advice is made available to registrants at or prior to the time when such advice is disseminated to the proxy voting advice business's clients.[409] Commenters also argued that requiring proxy voting advice businesses to share with registrants proxy voting advice that is based on custom policies would unconstitutionally compel them to disclose confidential client information.[410] Our decision to exclude such advice from Rule 14a-2(b)(9)(ii) should eliminate that concern.[411] Moreover, under the safe harbor in Rule 14a-2(b)(9)(iii), a proxy voting advice business has no obligation to provide a copy of its advice to a registrant unless such registrant acknowledges certain limits on its use of the advice.[412] Nor must a proxy voting advice business that avails itself of such safe harbor share its proxy voting advice if the registrant files its definitive proxy statement less than 40 calendar days before the shareholder meeting.

In addition, we have replaced the proposed requirement that proxy voting advice businesses include in their proxy voting advice a hyperlink to the registrant's response with a principles-based obligation to adopt policies and procedures reasonably designed to ensure that proxy voting advice businesses provide clients with a mechanism by which they can reasonably be

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[409] Rule 14a-2(b)(ii)(A). *See also supra* note 342 and accompanying text. We note that at least one proxy voting advice business already makes its proxy reports available for purchase by registrants upon their release to client. *See* GLASS LEWIS: PURCHASE A PROXY PAPER, *available at* https://www.glasslewis.com/request-a-proxy-paper-or-alert/ (last visited on May 26, 2020).

[410] *See supra* note 408.

[411] *See* Rule 14a-2(b)(9)(v).

[412] We also believe that these modifications from the proposal—among others, the fact that proxy voting advice businesses are not required to give registrants an opportunity to review proxy advice before its dissemination to clients and need not share the advice at all unless registrants acknowledge restrictions on its use—address the concerns raised by some commenters under the takings clause of the Fifth Amendment. *See* letters from CalPERS; ISS.